Canada-Brazil Trade Analysis Report

2024-2025 Performance Review & 6-Month Forecast

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Executive Summary

EXECUTIVE SUMMARY: CANADA-BRAZIL TRADE ANALYSIS (2024-2025)
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1. TRADE PERFORMANCE OVERVIEW
• Total trade changed by 16.0% ($1,993,594,613)
• Trade balance shifted by $-713,053,291
• SIGNIFICANT CHANGE: Trade volume changed by more than 10% between 2024 and 2025, indicating a major shift in bilateral trade relations.
• 9 provinces showed growth, 3 showed decline

2. TOP PERFORMERS
• Fastest growing province: Ontario (23.4%)
• Top growing product: Cocoa and Cocoa Preparations (212.2%)
• Key growth driver: Ontario (contributed 68.8% of total growth)

3. MARKET SHARE HIGHLIGHTS
• Largest market share (2025): Ontario (49.9%)
• Most improved market share: Ontario (+3.0 pp)
• Top 3 provinces control 92.4% of market

4. 6-MONTH OUTLOOK
• Expected growth rate: 2.2%
• Projected total trade: $7,641,817,188
• Year-over-year projection: 2.2% change
• Confidence level: HIGH (R^2 = 0.960, MAPE = 2.5%)
• □ Model shows strong predictive power - forecast is highly reliable

5. STRATEGIC RECOMMENDATIONS
• Focus on Ontario as the primary growth region
• Prioritize Cocoa and Cocoa Preparations category for expansion

- Monitor Saskatchewan for emerging opportunities
- Prepare for 2.2% trade volume increase over next 6 months

16.0%

TRADE VOLUME CHANGE

$7,641,817,188

6-MONTH PROJECTION

$-713,053,291

BALANCE SHIFT

2.2%

FORECAST GROWTH

Q1: Trade Value & Balance Analysis (2024 vs 2025)

$12,476,738,128

TOTAL TRADE 2024

$14,470,332,741

TOTAL TRADE 2025

$-7,981,254,304

BALANCE 2024

$-8,694,307,595

BALANCE 2025

Significance Assessment: SIGNIFICANT CHANGE - Trade volume changed by more than 10% between 2024 and 2025, indicating a major shift in bilateral trade relations.

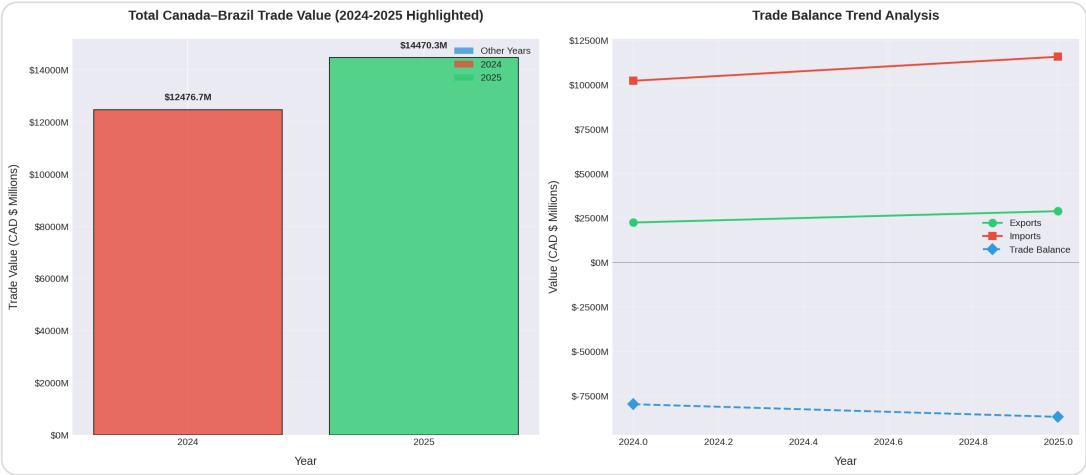

Figure 1: Total Trade Value and Balance Trend (All Available Years)

Trade Statistics by Year

Category	Year	Total Trade ($)	Exports ($)	Imports ($)	Trade Balance ($)
0	2024	$12,476,738,128	$2,247,741,912	$10,228,996,216	$-7,981,254,304
1	2025	$14,470,332,741	$2,888,012,573	$11,582,320,168	$-8,694,307,595

Q2: Provincial Trade Performance

9

GROWING PROVINCES

3

DECLINING PROVINCES

31.7%

AVERAGE GROWTH

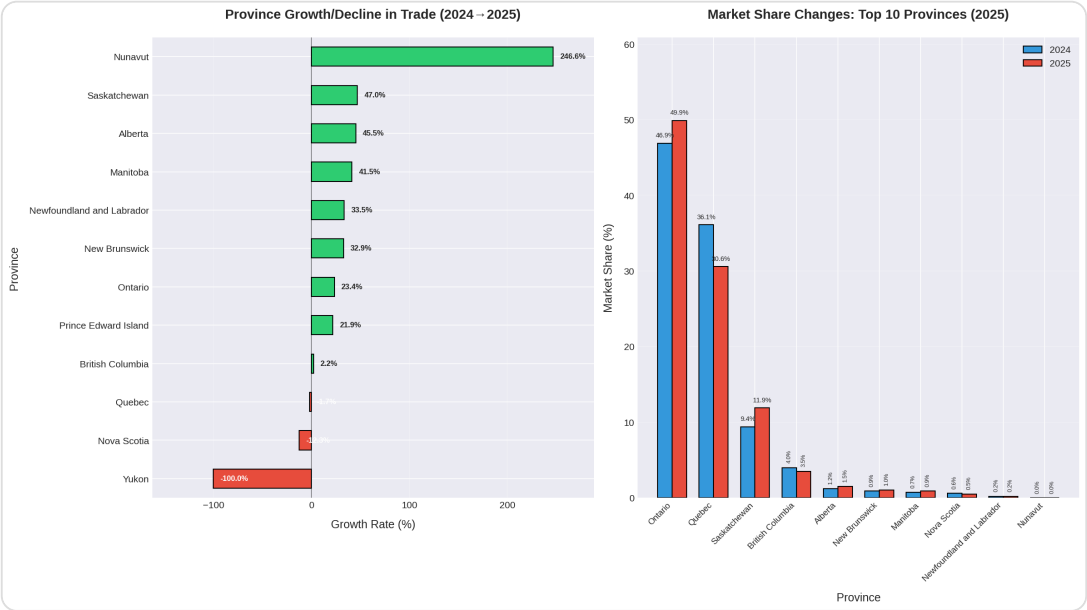

Figure 2: Provincial Growth Rates and Market Share Changes (2024-2025)

Province Growth Analysis

Category	Growth Rate (%)	Change ($)	Market Share 2025 (%)	Share Change (Pp)
Alberta	45.5%	$68,741,273	1.5%	0.3%
British Columbia	2.2%	$11,111,035	3.5%	-0.5%
Manitoba	41.5%	$36,283,738	0.9%	0.2%
New Brunswick	32.9%	$35,751,672	1.0%	0.1%
Newfoundland and Labrador	33.5%	$7,691,500	0.2%	0.0%
Nova Scotia	-12.3%	$-9,201,278	0.5%	-0.1%
Nunavut	246.6%	$1,640	0.0%	0.0%
Ontario	23.4%	$1,370,737,193	49.9%	3.0%
Prince Edward Island	21.9%	$231,862	0.0%	0.0%
Quebec	-1.7%	$-76,056,822	30.6%	-5.5%
Saskatchewan	47.0%	$549,466,216	11.9%	2.5%
Yukon	-100.0%	$-1,163,416	0.0%	0.0%

Q3: Comprehensive Trade Summary

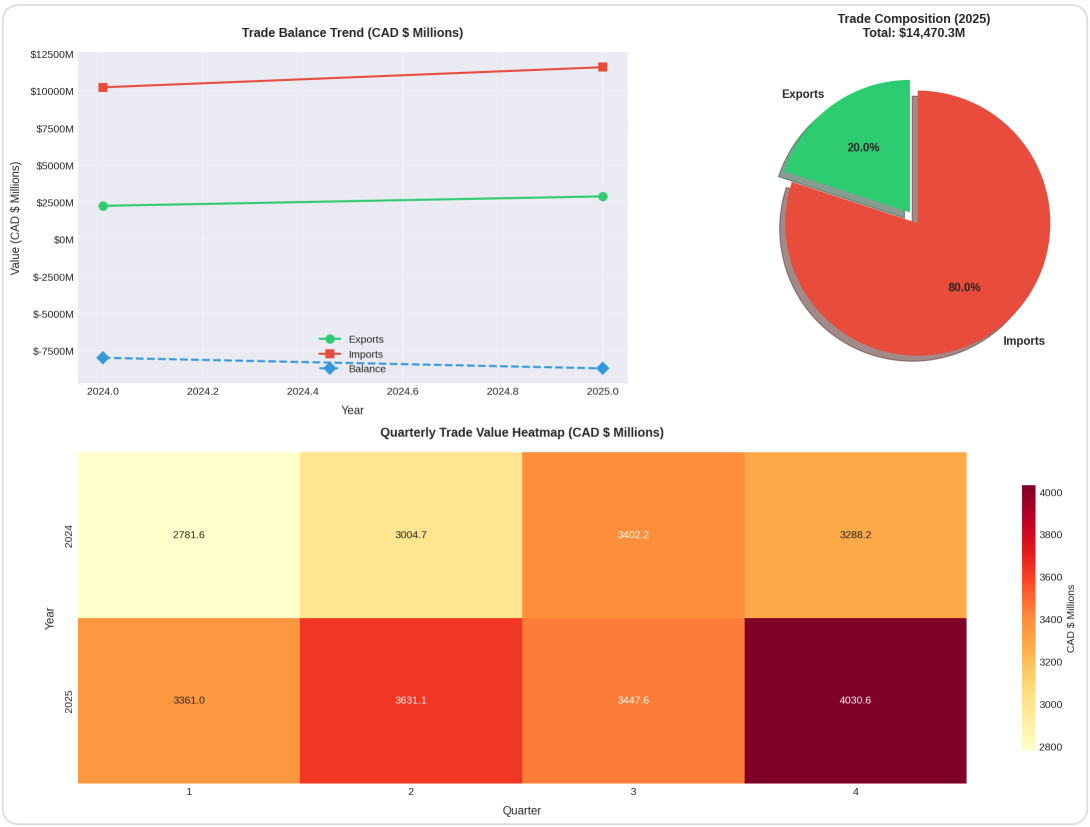

Figure 3: Trade Balance Trend, Composition, and Quarterly Heatmap

Annual Trade Summary

Category	Exports ($)	Imports ($)	Total Trade ($)	Balance ($)	Exp. Share %	Imp. Share %	Gdp Ratio %
2024	$2,247,741,912	$10,228,996,216	$12,476,738,128	$-7,981,254,304	18.0%	82.0%	92.6%
2025	$2,888,012,573	$11,582,320,168	$14,470,332,741	$-8,694,307,595	20.0%	80.0%	107.4%

Quarterly Trade Breakdown (CAD $)

Category	Q1 (Cad $)	Q2 (Cad $)	Q3 (Cad $)	Q4 (Cad $)
2024	$2,781,591,233	$3,004,691,871	$3,402,249,030	$3,288,205,994
2025	$3,361,048,651	$3,631,050,071	$3,447,618,551	$4,030,615,468

Q4: Product Performance Analysis (HS Chapters)

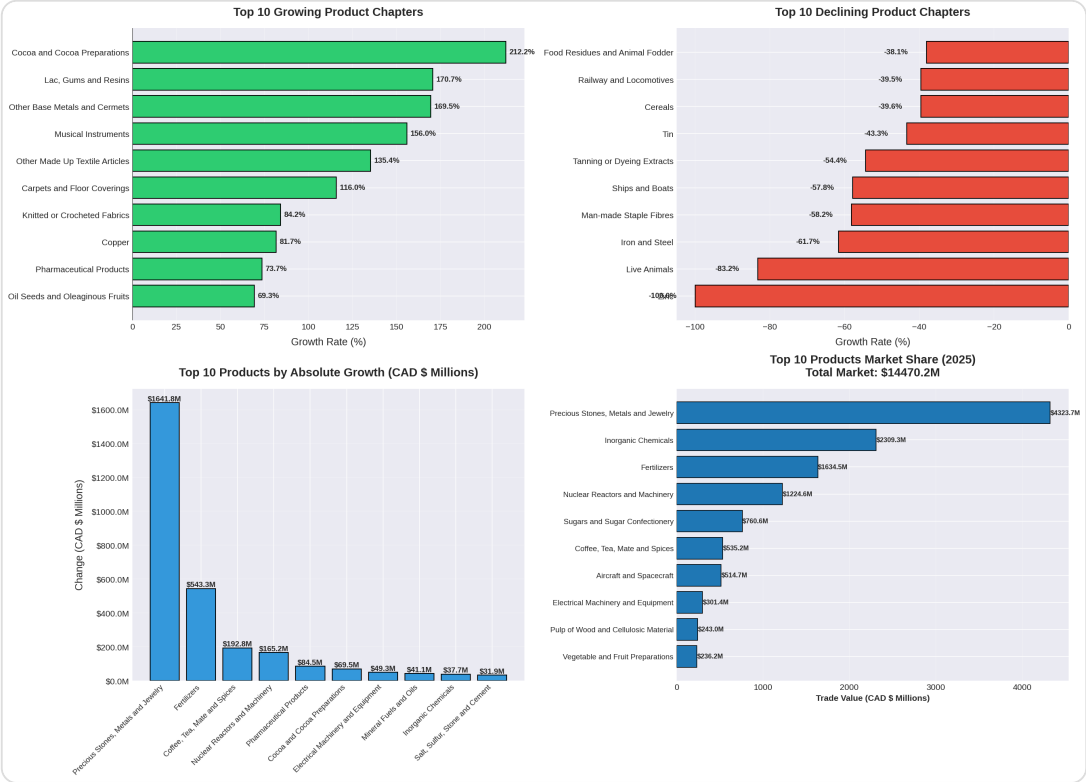

Figure 4: Top Growing/Declining Products and Market Share Analysis

Top 10 Growing Products

Category	Growth Rate (%)	Change ($)	2024 Value ($)	2025 Value ($)
Cocoa and Cocoa Preparations	$212	$69,455,974	$32,723,918	$102,179,892
Lac, Gums and Resins	$171	$5,277,431	$3,092,217	$8,369,648
Other Base Metals and Cermets	$170	$1,028,731	$606,829	$1,635,560
Musical Instruments	$156	$299,680	$192,114	$491,794
Other Made Up Textile Articles	$135	$1,288,931	$952,054	$2,240,985
Carpets and Floor Coverings	$116	$276,834	$238,738	$515,572
Knitted or Crocheted Fabrics	$84	$49,369	$58,630	$107,999
Copper	$82	$4,889,945	$5,984,335	$10,874,280
Pharmaceutical Products	$74	$84,521,766	$114,724,759	$199,246,525
Oil Seeds and Oleaginous Fruits	$69	$4,246,705	$6,129,115	$10,375,820

Top 10 Declining Products

Category	Growth Rate (%)	Change ($)	2024 Value ($)	2025 Value ($)
Zinc	$-100	$-132,926	$132,972	$46
Live Animals	$-83	$-745,998	$896,317	$150,319
Iron and Steel	$-62	$-296,421,965	$480,695,479	$184,273,514
Man-made Staple Fibres	$-58	$-121,716	$209,284	$87,568
Ships and Boats	$-58	$-869,059	$1,503,921	$634,862
Tanning or Dyeing Extracts	$-54	$-1,662,330	$3,055,597	$1,393,267
Tin	$-43	$-8,131,872	$18,761,221	$10,629,349
Cereals	$-40	$-13,768,049	$34,777,907	$21,009,858
Railway and Locomotives	$-40	$-1,377,491	$3,484,609	$2,107,118
Food Residues and Animal Fodder	$-38	$-6,218,844	$16,338,792	$10,119,948

Q5: Province Contribution to Growth

$1,993,594,613

TOTAL GROWTH (2024-2025)

68.8%

TOP CONTRIBUTOR

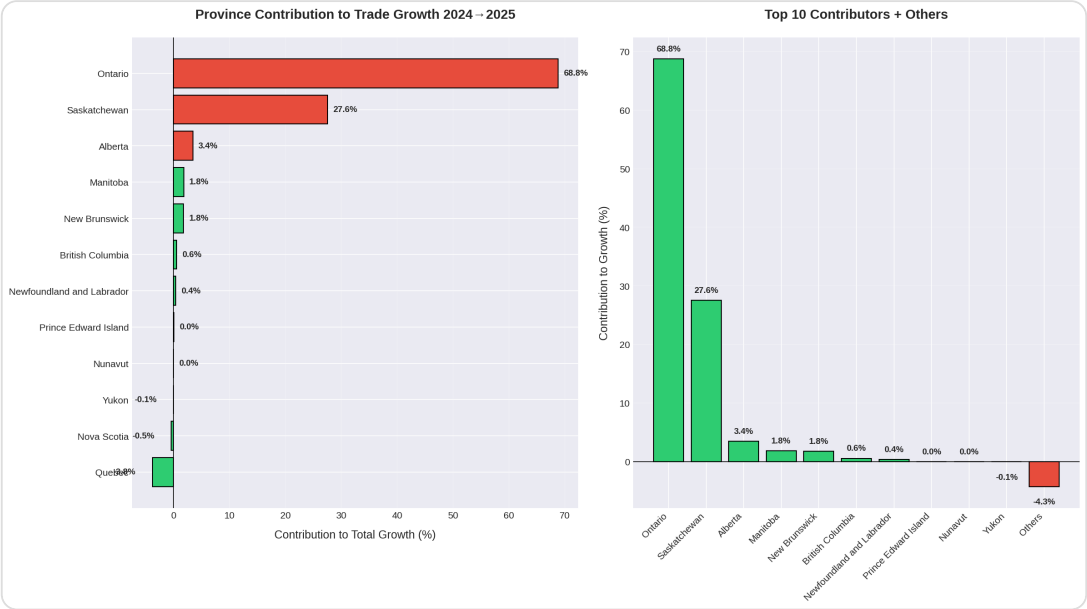

Figure 5: Province Contribution to Total Trade Growth (2024-2025)

Province Contribution to Growth

Category	Contribution (%)	Change ($)	Market Share 2025 (%)
Ontario	68.8%	$1,370,737,193	49.9%
Saskatchewan	27.6%	$549,466,216	11.9%
Alberta	3.4%	$68,741,273	1.5%
Manitoba	1.8%	$36,283,738	0.9%
New Brunswick	1.8%	$35,751,672	1.0%
British Columbia	0.6%	$11,111,035	3.5%
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Prince Edward Island	0.0%	$231,862	0.0%
Nunavut	0.0%	$1,640	0.0%
Yukon	-0.1%	$-1,163,416	0.0%
Nova Scotia	-0.5%	$-9,201,278	0.5%
Quebec	-3.8%	$-76,056,822	30.6%

Q6: 6-Month Forecast & Outlook

2.2%

EXPECTED GROWTH

$7,641,817,188

PROJECTED TOTAL

HIGH

CONFIDENCE LEVEL

0.960

R^2 (MODEL FIT)

Figure 6: Historical Data & 6-Month Forecast with Confidence Intervals

Forecast Details

- **Current 6-month average:** $1,246,372,336
- **Forecasted 6-month average:** $1,273,636,198
- **Year-over-year projected growth:** 2.2%
- **95% Confidence Interval:** ±$60,746,554 per month
- **80% Confidence Interval:** ±$40,943,178 per month
- **Model Fit (R^2):** 0.960
- **MAPE (Mean Absolute Percentage Error):** 2.5%
- **RMSE:** $31,638,173

Reliability Assessment: Model shows strong predictive power - forecast is highly reliable

Model Comparison

Model	R^2 Score	MAPE (%)	RMSE (CAD $)	Selected
Linear Regression	0.426	8.8%	$119,911,609	
Holt-Winters (Exp. Smoothing) Note: requires ≥3 years of data for reliable seasonality estimation. With only 24 months, this model is underfitted.	0.009	9.2%	$157,624,577	
Prophet (with linear growth)	0.960	2.5%	$31,638,173	

Prophet model selected for final forecast due to better performance metrics.

Methodology & References

Data Sources

- Statistics Canada - International Trade Database
- Brazilian Ministry of Economy - Comex Stat
- World Integrated Trade Solution (WITS)
- International Monetary Fund - Direction of Trade Statistics

Methodology

- **Growth Rate Calculation:** ((2025 Value - 2024 Value) / 2024 Value) × 100
- **Forecast Method:** Prophet time series model with linear growth and additive seasonality. Three models compared: Linear Regression (R^2=0.426), Holt-Winters Exponential Smoothing (R^2=0.009, limited by short 24-month series), and Prophet (R^2=0.960). Prophet selected for final forecast.
- **Market Share:** (Provincial/Product Trade Value / Total Trade Value) × 100
- **Contribution Analysis:** (Provincial Change / Total Change) × 100
- **Pareto Analysis:** Identification of provinces contributing to 80% of growth
- **Seasonality:** Monthly average decomposition to identify cyclical patterns

References

- World Trade Organization. "International Trade Statistics". Geneva: WTO Publications.
- Anderson, J.E. & van Wincoop, E. "Trade Costs and Trade Balance Dynamics". Journal of International Economics.
- Statistics Canada. "Canadian International Merchandise Trade Database". Ottawa: Statistics Canada.
- Brazilian Ministry of Economy. "Foreign Trade Statistics (Comex Stat)". Brasília: Ministry of Economy.

Technical Notes

- All values are in Canadian Dollars (CAD), nominal terms (not adjusted for inflation)
- Data includes merchandise trade only (services excluded)
- HS Chapter classification based on Harmonized System 2022
- Forecast confidence intervals assume normal distribution of residuals
- Analysis period: 2024 - 2025
- Generated: March 16, 2026
- Report ID: CAN-BRA-20260316_223726

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